What Medicaid Looks At, in Plain English

Care needs, income, assets, the home, a spouse and transfers: what each area is, and what you can write down about it.

You've heard that Medicaid can help pay for long-term care. You've also heard that Mom would never qualify. What nobody has told you is what it would actually look at.

This guide goes through the areas in general terms, so you can see which parts of Mom's situation belong in the picture and start a few dated notes on each. It explains. It doesn't tell you where Mom stands, and it states no state's rules.

The program, and the care side of it

Medicare.gov says plainly that Medicare doesn't pay for long-term care, the everyday help with tasks like dressing and bathing that some people come to need. Medicaid is a different program. The Administration for Community Living notes that, unlike Medicare, it does pay for custodial care in nursing homes and at home, for people who meet its requirements. [1] [2]

Medicaid is a joint federal and state program. The overall rules are federal, but states have considerable leeway in how they run it, so eligibility rules and covered services vary from state to state. The National Institute on Aging adds that benefits and eligibility requirements can change over time. That is why two families can both be right about what happened to them and still give you different answers. [2] [3]

A review isn't only about money. The Administration for Community Living describes general requirements and financial requirements, and then additional functional requirements for long-term care services, for which a medical specialist in the state evaluates the person's needs. Medicaid.gov adds that people generally must be residents of the state where they receive Medicaid. [4] [5]

- Write down the state Mom lives in, and any move the family has talked about.
- Write down what she does on her own today and anything she gets a hand with, with the date. She's managing now, and that is worth recording as it is.
- You don't have to decide whether her needs would meet any standard. That is an evaluation a state makes, not a family.

Income and assets: some are counted, some aren't

On income, the Administration for Community Living says the amount a person can have varies by state, and that a state counts some of a person's income but not all of it. The sources it lists are familiar ones: Social Security, veterans benefits, pensions, interest from bank accounts and dividends. [4]

Assets work in a similar way. Some are counted and others are excluded, the amount of countable assets a person can have varies from state to state, and many assets aren't counted at all. The same page calls the assessment “fairly complex,” depending on how much and what kind of assets a person has. [4]

This is why “she has too much” can't be settled by adding up her statements. A family's own total mixes things a state may count with things it may not. That doesn't mean Mom would qualify. It means the total can't tell you either way.

Whose name is on something is part of the picture too. The full value of an asset owned jointly with someone else may be counted as belonging entirely to the person applying. [4]

- List each source of income and each account, policy and piece of property by name, with whose name is on it.
- Mark each line “seen on paper” or “remembered.”
- Don't sort the list into counted and not counted, and don't total it. The sorting is a professional's part.

The home and a spouse

The house is usually the first thing families ask about, and it's one of the areas where states differ. A state may ask a homeowner to document the home's current fair market value and any loans on it, such as a mortgage. Justice in Aging, a national nonprofit, notes that states have varying rules about home equity as an asset. [6] [7]

Estate recovery is a separate subject from qualifying. Federal law requires states to seek repayment, from a person's estate after their death, of what Medicaid spent on their long-term care. It tends to come up in conversations about the house, which is how the two get mixed together. How it works in Mom's state is a question for an elder law attorney. [8]

If Mom is married, the picture includes her spouse. Medicaid.gov describes spousal impoverishment provisions meant to protect the spouse of a person who needs long-term care coverage from becoming impoverished: a certain amount of the couple's combined resources is protected for the spouse living in the community. The amounts are updated from year to year, and what the provisions would mean for a particular couple is a question for a professional who knows their state. [5] [9]

- Write down whose name is on the deed, whether there's a mortgage or other loan, and who lives in the house.
- Write down whether Mom is married and, for each account and property, which spouse's name is on it.
- Keep the questions about the house and about a spouse on their own list. They go to your Medicaid planner and, where they're legal questions, to an elder law attorney.

Gifts, transfers and what has changed hands

A state may also look at what happened before an application. The Administration for Community Living says a state may ask a person to explain what happened to assets whose value went down a lot, and will want to know whether any assets were given away. [6]

Its glossary describes a transfer of assets as giving away property for less than it is worth, and calls the stretch of time the Medicaid agency reviews the look-back period. A transfer made in that period may affect when Medicaid would pay for long-term care. [10]

How long that period is, what is treated as a transfer and what follows from one are not things this guide can tell you. They depend on the state and the details, and nothing here is a reason to change or undo anything on your own. The family's part is a plain record.

- Write down anything of Mom's that has been given away, sold to a relative or put in someone else's name: what it was, roughly when, who received it, and what paper exists.
- If the family is thinking about a change, write it down as a question for a professional. It stays a question until one has seen it.

What this means for your family

- “Would Mom qualify?” turns out to be several questions: care needs, the basics like residency, income, assets, the home, a spouse, and what has changed hands.
- Your part is to describe each one, with a date and with the blanks showing. Comparing that description with the rules in Mom's state is the review your Medicaid planner does.
- Because the rules differ by state and change over time, a dated page you can update is worth more than a conclusion.
- The Administration for Community Living calls the State Medical Assistance office the best source for how to qualify in a given state (source 2 below). Legal questions go to an elder law attorney, and financial ones to a licensed financial professional.

What this guide doesn't do

It doesn't state the rules, limits or time periods of any state, say whether Mom would qualify, or suggest doing anything with her money or property. It isn't legal, financial or tax advice. The general statements come from the sources below. The suggestions about what to write down are ours.

Ready for the next step?

You know which parts of Mom's situation a review looks at, and you've started a few notes on each. The planning interview asks about each part of your family's situation in turn, including the parts you didn't think to write down, and gives you a free planning report you can bring to any conversation about paying for care.

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WHERE THIS COMES FROM

1. Medicare.gov (Centers for Medicare & Medicaid Services), Long Term Care Coverage
2. Administration for Community Living (LongTermCare information), Medicaid
3. National Institute on Aging, Paying for Long-Term Care
4. Administration for Community Living (LongTermCare information), Medicaid Eligibility
5. Medicaid.gov (Centers for Medicare & Medicaid Services), Eligibility Policy
6. Administration for Community Living (LongTermCare information), Applying for Medicaid
7. Justice in Aging, Medicaid Home and Community-Based Services for Older Adults: A Primer
8. Administration for Community Living (LongTermCare information), Medicaid Estate Recovery
9. Medicaid.gov (Centers for Medicare & Medicaid Services), Spousal Impoverishment
10. Administration for Community Living (LongTermCare information), Glossary